Q3 2024 Earnings Call

Company Participants

- Christophe Fouquet, President and Chief Executive Officer
- Roger Dassen, Executive Vice President and Chief Financial Officer
- Skip Miller, Vice President of Investor Relations

Other Participants

- Adithya Metuku, HSBC
- Alexander Duval, Goldman Sachs
- C.J. Muse, Cantor Fitzgerald
- Chris Caso, Wolfe Research
- Didier Scemama, Bank of America
- Francois Xavier Bouvignies, UBS
- Joe Quatrochi, Wells Fargo
- Mehdi Hosseini, Susquehanna
- Sandeep Deshpande, JP Morgan
- Tammy Qiu, Berenberg

Presentation

Operator

Good day, and thank you for standing by. Welcome to the ASML 2024 Third Quarter Financial Results Conference Call on October 16, 2024. At this time, all participants are in a listen-only mode. After the speakers' introduction, there'll be a question-and-answer session. (Operator Instructions) Please be advised that today's conference is being recorded.

I would now like to hand the conference call over to Mr.Skip Miller. Please go ahead.

Skip Miller {BIO 20244900 <GO>}

Thank you, operator. Welcome, everyone. This is Skip Miller, Vice President of Investor Relations at ASML. Joining me today on the call are ASML's CEO, Christophe Fouquet; and our CFO, Roger Dassen. The subject of today's call is ASML's 2024 third quarter results.

The length of this call will be 60 minutes, and the questions will be taken in the order that they are received. This call is also being broadcast live over the internet at asml.com. A transcript of management's opening remarks and a replay of the call will be available on our website shortly following the conclusion of this call.

Before we begin, I'd like to caution listeners that comments made by management during this conference call will include forward-looking statements within the meaning of the federal securities laws. These forward-looking statements involve material risks and uncertainties.

For a discussion of risk factors, I encourage you to review the Safe Harbor Statement contained in today's press release and the presentation found on our website at asml.com and in ASML's Annual Report on Form 20-F and other documents as filed with the Securities and Exchange Commission.

With that, I'd like to turn the call over to Christophe Fouquet for a brief introduction.

Christophe Fouquet {BIO 20524437 <GO>}

Thank you, Skip. Welcome, everyone, and thank you for joining us for our third quarter 2024 results conference call.

First, let me apologize for the confusion yesterday after the early publication of our press release due to a technical error. Particularly given the serious nature of the key messages we wanted to deliver and discuss with you, this was very unfortunate.

Before we begin the Q&A session, Roger and I would like to provide an overview and some commentaries on the third quarter 2024, as well as provide some additional comments on the current business environment and on our future business outlook.

Roger?

Roger Dassen {BIO 15064806 <GO>}

Thank you, Christophe, and welcome, everyone. I will first review the third quarter 2024 financial accomplishments and then provide guidance on the fourth quarter of 2024.

Let me start with our third quarter accomplishments. Total net sales came in at EUR7.5 billion, which is above the high end of our guidance, driven by more Deep UV system sales, as well as higher Installed Base Management sales.

Net system sales came in at EUR5.9 billion, which is made up of EUR2.1 billion of EUV sales and EUR3.8 billion of non-EUV sales. Net system sales was driven by Logic at 64%, with the remaining 36% coming from Memory.

Installed Base Management sales for the quarter came in above guidance at EUR1.54 billion due to higher service and upgrade revenue. Gross margin for the quarter came in within guidance at 50.8%.

And operating expenses, R&D expenses, came in slightly below guidance at EUR1.06 billion, while SG&A expenses came in as guided at EUR297 million. Net income in Q3 was EUR2.1 billion, representing 27.8% of total net sales and resulting in an EPS of EUR5.28.

Turning to the balance sheet. We ended the third quarter with cash, cash equivalents, and short-term investments at a level of EUR5.0 billion, similar to last quarter. We ended Q3 with a free cash flow of EUR534 million, which is somewhat improved relative to last quarter.

However, as mentioned last quarter, there continue to be pressure on free cash flow. This is primarily due to a relatively lower level of order intake and therefore less down payments, as well as a higher inventory level.

The higher inventory level is primarily attributable to EUV, both High NA and Low NA, driven by longer lead times in the build cycle, as well as inventory in support of future ramp.

Moving to the order book, Q3 net system bookings came in at EUR2.6 billion, which is made up of EUR1.4 billion of EUV bookings and EUR1.2 billion of non-EUV bookings. Net system bookings in the quarter was more or less balanced between Memory at 54% and Logic at 46% of bookings.

The relatively low order intake is a reflection of the slow recovery in the traditional end markets as customers remain cautious in the current environment. At the end of Q3 2024, we finished with a backlog of over EUR36 billion.

With that, I would like to turn to our expectations for the fourth quarter of 2024. We expect Q4 total net sales to be between EUR8.8 billion and EUR9.2 billion. We expect our Q4 Installed Base Management sales to be around EUR1.9 billion. Gross margin for Q4 is expected to be between 49% and 50%.

I would like to make a few comments on the Q4 guidance. Net sales include the expected revenue recognition of two High NA systems. Installed Base Management revenue is higher than Q3, primarily as a result of achieving specific EUV performance milestones and some EUV productivity upgrades.

Although Q4 revenue is higher than Q3, gross margin is expected to be slightly lower than Q3, as the positive impact from the higher upgrade revenue is more than offset by the dilutive gross margin impact from the expected revenue recognition of the two High NA systems.

For the quarter, the dilutive effect thereof on the gross margin is approximately 3.5%. Based on the Q4 guidance, we expect 2024 revenue at around EUR28 billion with a gross margin of around 50.6%, which is slightly lower than 2023 as expected.

The expected R&D expenses for Q4 are around EUR1,090 million, and SG&A is expected to be around EUR300 million. Our estimated 2024 annualized effective tax rate is expected to be between 16% and 17%.

In Q3, ASML paid the first quarterly interim dividend over 2024 of EUR1.52 per ordinary share. The second quarterly interim dividend over 2024 will be EUR1.52 per ordinary share and will be made payable on November 7, 2024. In Q3 2024, no shares were purchased.

With that, I would like to turn the call back over to you, Christophe.

Christophe Fouquet {BIO 20524437 <GO>}

Thank you, Roger. As Roger highlighted, it was a solid financial quarter, but there were also a number of market dynamics in the quarter.

Starting with our technology, we continue to make good progress on both our new EUV products. On our Low NA technology, we continued to ramp the NXE:3800E system this quarter, with EUV customers now rapidly shifting to this new model due to its higher performance, including over 37% improvement in throughput compared to the NXE:3600D.

We have now demonstrated the full 220 wafers per hour throughput at a new record overlay in our factory, and we are on track to deliver a full specification system with new system shipments and upgrades from the beginning of next year. As customers transition to the NXE:3800E, the majority of shipments in Q4 are the NXE:3800E systems.

Regarding High NA, the two shipped systems are now exposing wafers at our customers, and we expect to recognize the revenue from this system by the end of the year. The first system is in the process of being shipped to a second major customer.

Momentum continues to grow, with around 10,000 wafers now exposed for multiple Logic and Memory customers using the High NA system in the joint ASML-imec High NA lab and the systems in the field.

At the recent lithography conference, we published new High NA data, showing major performance benefits in imaging, overlay, and contrast. Those benefits also indicate significant cost reduction opportunities for both Logic and DRAM customers.

As a reminder of the value High NA provides, we have demonstrated the system's ability to print features at a resolution of 8 nanometers. Compared to a Low NA system, this represents an improvement to nearly 3x in transistor density per exposure. So all in all, we are seeing continued momentum on EUV technology, and we are progressing well relative to customer expectations.

With regards to market conditions, while we continue to view AI as a key driver of industry recovery with potential upside, we see other segments recovering more slowly than anticipated. The recovery will extend well into 2025, which is leading to customer cautiousness and some push-outs in their investment.

In Logic, the slow recovery of end markets, such as mobile and PC, together with specific competitive foundry dynamics, has resulted in a slower ramp of new nodes at certain customers who are, as a result, pushing out some of their fabs and changing their litho demand timing.

In Memory, the slower market recovery is also resulting in limited capacity addition with the focus still on technology transition, supporting the high-bandwidth memory and DDR5 AI-related demand. And finally, we expect the China business to go back to a more normalized percentage of our business, in line with the percentage of China business in our backlog.

In summary, while the long-term trends are still very strong and positive, the developments over the past few months, combined with customer-specific circumstances, has led to a reduced growth curve in 2025 and an overall reduction of our lithography demand. Due to these dynamics over the last quarter, we felt it would be appropriate to make some comments on 2025 at this time versus waiting until our Investor Day next month.

With that, I will turn it back over to Roger.

Roger Dassen {BIO 15064806 <GO>}

Thanks, Christophe. And as we discussed in our Investor Day in 2022, we provided market scenarios for 2025 of between EUR30 billion and EUR40 billion, with a gross margin of between 54% and 56%.

Based on the recent market dynamics that Christophe just described, we now see 2025 revenue moving to the lower half of the range, so between EUR30 billion and EUR35 billion. To a large extent, this is driven by a significant reduction in our expected Low NA shipments for 2025 to fewer than 50.

We also now expect our China sales to be around 20% of our total revenue next year, trending back towards our historical China percentage and in line with its share of the backlog.

With regard to gross margin, one of the key drivers of the expected improvement was Low NA, driven by both an increase in the number of systems as well as a move to the higher-margin 3800E system.

While the improvement in gross margin for the 3800E has been achieved, the large reduction in EUV unit numbers for next year is significantly margin dilutive in comparison to earlier expectations.

Also, the reduction of our China sales, which typically contain a high percentage of immersion sales, is dilutive to our gross margin. Therefore, based on the current outlook of lower revenue and the less favorable mix, in comparison to the 2022 Investor Day, we now expect a gross margin of between 51% and 53% in 2025.

In comparison to 2024, the 2025 gross margin is expected to benefit from the higher gross margin on the 3800E, gradual margin improvement on High NA, and the improvement in EUV service margin, but we'll also see a dilutive margin effect of recognizing more High NA tools in revenue.

On operational expenses for 2025, we expect total OpEx to be at the upper end of the bandwidth of EUR5.6 billion to EUR6.1 billion, provided during Investor Day in 2022. We will continue with our R&D roadmap as planned, and have been able to absorb the significant wage inflation effect since 2022 within the bandwidth.

With that, I once again hand it over to Christophe.

Christophe Fouquet {BIO 20524437 <GO>}

Thank you, Roger. As we look out longer term, consistent with what we have previously stated, the secular growth drivers in the semiconductor end market are still very much intact. AI, energy transition, electrification, among other applications, continue to provide a very strong and very positive perspective to our industry and ASML business.

The expanding application space, along with increasing lithography needs on future technology nodes, drive demands for both advanced and mainstream nodes. In line with most of our industry peers, we continue to see AI as an upside and continue to watch carefully how this will affect us on the short and on the long term.

Despite some of the push-outs we have discussed, we continue to prepare for a number of new fabs that are being built across the globe to address the future demand and needs of the industry. Those fabs are spread geographically, are strategic for our customers, and are scheduled to take our system.

We will therefore continue to build capacity in order to respond to the demand increase that we expect throughout the remainder of this decade. We will provide a more detailed assessment together with the scenarios of 2030 at our Investor Day on November 14, 2024. We look forward to seeing you there.

With that, we would be happy to take your questions.

Questions And Answers

Operator

(Question And Answer)

A - Skip Miller {BIO 20244900 <GO>}

Thank you, Roger and Christophe. The operator will instruct you momentarily on the protocol for the Q&A session. Beforehand, I'd like to ask that you kindly limit yourself to one question with one short follow-up, if necessary. This will allow us to get to as many callers as possible.

Now, operator, could we have your final instructions and the first question, please?

Operator

(Operator Instructions) We will now take the first question. One moment, please. And your first question comes from the line of Joe Quatrochi from Wells Fargo. Please go ahead.

Q - Joe Quatrochi {BIO 18961101 <GO>}

Yes. Thanks for taking the questions. I wanted to kind of understand the change that you're talking about in terms of the China demand. What are you seeing there that is causing that normalization? And then if we were to try to think about what in your 2025 guide, you're implying for non-China DUV revenue, it seems like you're embedding a pretty significant increase year-over-year. What's the underpinning driver of that?

A - Roger Dassen {BIO 15064806 <GO>}

Thanks, Joe. So, when it comes to China, I think it's a combination of two things. As we've said before, in the past two years, we've been very much eating into our backlog for China. And that backlog has come to that level, simply because in the years before that we were -- we had a fairly low order fill rate for China.

So, as a result of that, backlog built up. And the past two years, because of the global market circumstances, we were able to deliver on that backlog. So that's why the China sales in 2023 and 2024 have been so high. So as a result of that we also indicated before that we expect at a certain point in time for that to normalize, and that is, I think, what you now see in the numbers. So that's one driver.

Secondly, I think we all read newspapers, right? We all see that there is speculation around export controls. And also, that is a driver for us to take a more cautious view on the China sales. So with that combined, we've indicated that we believe the China sales for next year are going to go to, let's say, 20% of our expected sales level for next year.

When it comes to Deep UV and the non-China part of the Deep UV business, if you do the math a little bit, our expectation is that the Deep UV business next year will be lower than it is this year. So we believe Deep UV will go down a bit. But you're right. I mean, with the China business going down, as we've indicated, that means that the non-China part of the Deep UV business will go up.

And the main reason is that if you look at the more advanced nodes, and if you do the math on the growth that you might anticipate in the EUV business for next year, you will see that there is quite some growth there in the combination of Low NA and High NA. You will see quite some growth there.

And I think what you're going to see is that the non-China part of the Deep UV business is sort of following that trend. So the attach rate, if you want to call it like that, of the Deep UV business to the EUV business will be kind of similar. So the growth rate you will see in EUV, you will sort of see back also in the growth rates for the non-China part of the Deep UV business.

Q - Joe Quatrochi {BIO 18961101 <GO>}

Got it. That's helpful. And then as a follow-up, I wanted to try to understand a little bit better the 2025 gross margin guidance in the commentary. I can certainly appreciate the lower mix of Low NA. But for total revenue to still be kind of within the low end of the target range, I think it would still imply that your immersion shipments maybe being down year-over-year, it sounds like still better than you're thinking about from the target model, which I think would be a positive for -- in terms of offsetting just some of the mix.

So maybe can you help us unpack that a little bit of just how do we think about like the immersion relative to what you were thinking about at the Analyst Day in 2022 and that mix effect?

A - Roger Dassen {BIO 15064806 <GO>}

Yes. So, Joe, immersion in comparison to the Investor Day in 2022, I think there you will see that immersion is not dramatically different from the expectations that we had in '22. So I think the immersion expectation has gone up a bit. But with everything I just told you, including our view on China, I think immersion has come down a bit. And all in all I think our immersion view is not dramatically different from what we held out at the Investor Day.

So the line, if you simply contrast the gross margin that we have, that we now articulate for 2025 and compare that to the gross margin that we articulated three years ago, it really is -- to a very large extent, it is driven by EUV. And there are two elements in EUV that do this. One element is volume. So the volume that we have on EUV now in our model with below 50 is substantially below the numbers that you saw in the Investor Day of November '22.

But there is also a mix effect in there, because in 2022 we were looking at the high end of the mix, i.e., 3800 was going to dominate, and in fact we were expecting a few 4000s in there. As a result of the dynamics in the markets, you will actually see quite a few 3600s in there in 2025 as well. The 3800 will dominate, but it will clearly be 3600s in there as well.

So there is also an ASP and gross margin mix effect in there. It's that combination of particularly a significantly lower number of EUV units and also the mix effect in the EUV units that is primarily driving down the gross margin expectation in comparison to what we were looking at in November of the '22. And the unit effect is by far the biggest effect in that explanation.

Q - Joe Quatrochi {BIO 18961101 <GO>}

Helpful. Thank you.

A - Roger Dassen {BIO 15064806 <GO>}

You're welcome.

Operator

Thank you. Your next question comes from the line of Didier Scemama from Bank of America. Please go ahead.

Q - Didier Scemama {BIO 21301064 <GO>}

Yes. Good afternoon. Thank you so much for taking my question. Roger or Christophe, I don't know, when you look at the cut you've made to EUV shipments for next year, call it 20 to 25 Low NA systems, how much of that do you think spills over to '26? And I've got a follow-up. Thank you.

A - Christophe Fouquet {BIO 20524437 <GO>}

I think it's a difficult question, as you can imagine, because I think the feedback we have got from our customer in the last few months was about pushing out those tools. So I think you could say mathematically this moving to 2026, I think that's the simple way to look at that. I think that we have to, of course, over time reconfirm the dynamic of the market, I would say, for the second half of '25 and '26.

So, if you think about, mathematically, we have talked about push-out because we really see our customers delaying basically their fabs. We don't see a customer basically changing their mind on those fabs. So that's why we refer to push-out. Of course, '26 is an opportunity to see those tools back. But like I say, there's still a long way until 2026, and we will continue to watch the market dynamic there.

Q - Didier Scemama {BIO 21301064 <GO>}

Excellent. And a follow-up to that would be, how much of the push-out is a reflection of just the end demand being poor versus maybe several of your customers struggling with process technology and attracting effectively customers to justify the construction of those factories?

A - Christophe Fouquet {BIO 20524437 <GO>}

I think it's both. So it's a mix of that. I think that we mentioned the slower recovery first, because I think this affects every single customer. So we are still quite optimistic about AI. I think today without AI, the market would be very sad, if you ask me.

But for the rest, I think our customer continues to confirm that when it comes to mobile, when it comes to PC, when it comes to automotive, the recovery is not what I think everyone had wished for. And that affects, I would say, a large part of our customer on all segments and applications.

I think we also indeed mentioned as well some competitive dynamic on Logic. I think that also has been expressed at length in the press in the last three months. So I think that's not really new for you. And this also contributes to some of the push-outs.

So I think those two things are really the two dynamics that have come up in the last few months to a level where our customer basically started to really make, I would say, decisions that were in line with their expectation, both on the total market, but also maybe in some cases on the share they may end up having in some of the Logic market.

Q - Didier Scemama {BIO 21301064 <GO>}

Makes sense. And just a tiny follow-up to Roger, if I may. When you look at your IBM revenues in Q4, there is a big step-up. Can you give us a sense as to whether that's sort of a new normal? And especially I'm thinking about '25 in your guidance and coming back to the point that was raised earlier on the DUV revenues, which are -- look optimistic. So, is the Installed Base Management going to grow a lot in '25 and effectively picks up the baton a little bit from DUV? Thank you.

A - Roger Dassen {BIO 15064806 <GO>}

Yes, Didier, I wouldn't say that it's the new normal. As we also explained today and earlier, and also as we explained in the video, there is clearly also a one-off effect in there, meeting a certain performance targets. So that was one reason that we expect that's a one-off effect, if you like, in what we see for Q4.

That said, we do believe that the Installed Base business, both on the server side and also on the upgrade side, is going to grow in a quite healthy way in 2025. So yes, we do project that there will be quite healthy growth in that. There will be healthy double-digit growth as we currently see it in the Installed Base Management in '25 in comparison to '24.

Q - Didier Scemama {BIO 21301064 <GO>}

Thank you.

Operator

Thank you. Your next question -- one moment, please. Your next question comes from the line of -- one moment, please. Okay. I will go to the question after -- I think there's a technical issue on that line. One moment.

Okay. Your next question comes from the line of Mehdi Hosseini from Susquehanna. Please go ahead.

Q - Mehdi Hosseini {BIO 4362002 <GO>}

Yes. Thanks for taking my question. First one for Christophe. I want to better understand the momentum with High NA. I think at the SPIE Conference a couple of weeks ago, there was increased interest by your key customers for changes to the reticle, going to larger reticle size.

And I want to better understand how you see that evolving or impacting both for High NA or with the reticle or changes to reticle would cause any push-out as you try to book 5200s. And I have a follow-up.

A - Christophe Fouquet {BIO 20524437 <GO>}

Yes. So I think the interest, you said it, is increasing. And I think what you have seen at the conference is that the initial data that have been shared on High NA by ASML, but also by some customers, have been received very positively because it shows significant performance improvement when it comes to imaging and some good -- very good cost support you see on some of the layer for DRAM and Logic. So I think the interest is high, indeed, and increasing.

The discussion on the 12-inch reticle is a bit a discussion about what else could we do in the future to further improve the productivity of High NA first and potentially other tools. So the conference you refer to is a bit of a technical conference. So people like to discuss basically what could come next. It was a good engagement. This was a sign indeed also of the fact that more customers start to count really on High NA into the future.

And that time frame is not at all aligned with the 5000 or 5200. So I think there's absolutely no connection between what we do with High NA and what we may do in the future with the 12-inch reticle. To give you an idea, that discussion may become more concrete towards the end of the decade or the beginning of the next one.

So it's really a long-term technical discussion we have engaged with our customer, and we are happy to have this discussion with them because this can provide a significant productivity improvement for High NA but for lithography in general. But that's not for tomorrow. And therefore, this will in no way impact our current discussion and business on High NA.

Q - Mehdi Hosseini {BIO 4362002 <GO>}

Okay, great. Thank you. And then a quick follow-up for you and Roger. Where are we with internal capacity targets? And given the updated '25 target, how do you see the capacity targets that you put out in '22 evolving? So where are we today with DUV and EUV manufacturing capacity? And how are you managing the targets for additional capacity that you put out back in '22?

A - Christophe Fouquet {BIO 20524437 <GO>}

Yes. So, if you realize today, we have a lot of focus, of course, on 2025. And I think what we say is that for next year, with a slower recovery, the number of tools we will be ahead of [ph] shipping to our customer is mostly less than what we expected, both in Capital Markets Day 2022, but also a few months ago.

Now what I've also said in the introduction is when we look at the long term, when we listen to our peers, I think that the bullishness about the long-term opportunity of this market is strong. We share that, which means that, at some point of time, the need for more capacity will be there.

So what we do, we continue to execute on the long lead time items, things like building some equipment. On the other hand, because the short-term market is a bit, I would say, softer than what we expected previously, we are also slowing down basically any short-term investments. When it comes to people, material, et cetera, et cetera, we don't have to do that today. We will do that when we have, again, visibility for a larger demand.

But the structure of our capability, we want to still drive, because I would say when the recovery takes more time to happen, if you believe on the long-term trajectory of the market, there's always a point where you have to deliver more tools, and we want to be ready for that as well.

Q - Mehdi Hosseini {BIO 4362002 <GO>}

Thank you. I look forward to seeing you at CMD.

A - Christophe Fouquet {BIO 20524437 <GO>}

Same here.

Operator

Thank you. We will now go to the next question. One moment, please. And your next question comes from the line of Chris Caso, Wolfe Research. Please go ahead.

Q - Chris Caso {BIO 4815032 <GO>}

Yes. Thank you. Good morning. My first question I'd like to dig into a little bit more of, what more specifically may have changed over the last 90 days? Because, some of the things you referred to, China, some of the Memory spending, some of the Logic spending, some of it I think was sort of known 90 days ago, and some may be incremental.

If I take each of those three and some of the fab push-outs that have come about that, how would you characterize the change in your calendar '25 guidance among those three areas? Basically, what was new to you as compared to when we had the last earnings call?

A - Roger Dassen {BIO 15064806 <GO>}

Well, I think if you take the different pieces, I think when it comes to China, we already started to indicate in the last call that over time we do see China trending towards a more normalized percentage. I think the intensity also of the discussions in the press, including discussions on more export restrictions I think have driven us to more cautiousness when it comes to China. So that I think is really driven by developments in the past couple of months.

I think when it comes to other customers, on previous calls, we've indicated that there was uncertainty. And I think what we see to a large extent is that part of that uncertainty has really materialized. So what became a question -- what was a question mark maybe a number of quarters ago has now become quite clear that a certain level of demand from certain customers was -- is in all likelihood not going to happen.

So that was the reason why we decided to that we could no longer hold a large window of EUR30 billion to EUR40 billion at the -- in the world. And that as a result of that, we needed to reduce that window to the lower half. I think that's the -- that's, Chris, I think the background of it, and that's what really changed. So it's the materialization of certain risks and uncertainties that we talked about before that have driven us to this lower expectation.

Q - Chris Caso {BIO 4815032 <GO>}

Got it. That's helpful. And just as a follow on with your comments on China. Of course, there haven't been new export restrictions announced. So, is it correct to interpret your comments is that you're making some judgment on what you think some of those restrictions, how that may affect revenue in '25 prior to those being fully implemented? Is that the correct interpretation?

A - Roger Dassen {BIO 15064806 <GO>}

Yes. Chris, as you, we read newspapers and we see continued speculation on things that might happen. And as a result of that, we've decided to take a more cautious view. And that indeed has resulted in -- is one of the drivers, I mentioned the other driver as well. But the combination of China being us eating less and less into the backlog of China and speculation around more export control restrictions, that has led us to the conclusion that it is prudent to go back to this 20% for China, as far as 20% of our total business.

Q - Chris Caso {BIO 4815032 <GO>}

Understood. Thank you.

Operator

Thank you. We will now go to our next question. One moment, please. And your next question comes from the line of Francois Xavier Bouvignies from UBS. Please go ahead.

Q - Francois Xavier Bouvignies

Thanks a lot for letting me in. My first question is on the comment that you mentioned on the smartphone market and PCs, and the market is a bit slower. Versus three months ago, the smartphone market and PC is indeed, it's slower. But the magnitude of the revision of EUV of 15 to 20 is still quite big compared to the weakness of the market.

So I was just coming back, it seems to be really two customers that are build [ph] well in the press, having some issues. So we would have thought that you would see some swap out in the orders in terms of customers. Did you see any sign of like upside risk into some orders, at least a bit of setting or interest related to these customer issues? Or is it -- is there a scenario that your customers gave you some too optimistic forecast in the light of a big shortage of EUV you had in recent years, and therefore, the swap out will -- the swap will take much longer than expected? I'm sorry for the long question, as usual.

A - Christophe Fouquet {BIO 20524437 <GO>}

No, it's okay, Francois. Those are good questions. And I think you touched again on the two drivers that we have seen changing our, I would say, main expectation for next year. So the combination of the two, again, is important.

And on first one, I think you see yourself, as you mentioned, the recovery on mobile, PC to be weaker than expected initially. This has an impact, I will say, on the capacity planning, but also maybe on the expectation of capacity planning. So I think we used the word cautiousness a few times in the call. When you become cautious, I think this means you are careful on the short term, but also a bit on the midterm. So you have a bit of a double hit, if you want, with the cautiousness. So that's the first one.

On the second one, I think we also mentioned some upside on AI, because we still believe that the overall demand for those applications is there, continue to increase. So if we look at the server demand, we see there a very nice recovery. A lot of that has to do with AI application. So we talk about upside, which also means that the overall dynamic of the market is still playing.

And we felt the need to provide an update for next year, based on some of the development we have seen. I think in no way we are also saying that there is a complete understanding of how the entire market will continue to play out in the next few months.

So I think on the second part of your question, I would say maybe this has not played out fully yet.

Q - Francois Xavier Bouvignies

Okay. Thank you. And you would expect to happen then, I guess, at some point, to happen?

A - Christophe Fouquet {BIO 20524437 <GO>}

Well, I think if everyone, and I think a lot of us still believe in the strong AI demand in the coming years, I think that demand has to be fulfilled. Therefore, yes, I would say most probably we will see some development also on that front in the coming months.

Q - Francois Xavier Bouvignies

Okay. Thank you, Christophe. And maybe my follow-up would be on the High NA. I don't want you to spoil the Capital Markets Day. But could you maybe give us an update on the High NA now in terms of adoption, maybe Logic, Memories? Anything happening here versus maybe three months ago, six months ago, since you passed the wafers?

A - Christophe Fouquet {BIO 20524437 <GO>}

Well, I think I said a few months ago that the period we are in, the months we are in will be important for the data generation, generating data to our customer, our customer that have placed many order already on High NA for R&D.

And you know when you generate data, you have two options. The data are bad, and customer kind of like it less. Or the data are good, and they like it more. And I think we are more in the second situation today. We continue to generate data. We talked about 10,000 wafer exposed. These are all to demonstrate basically the performance of the tool on Logic, Memory. And all of that is helping our customer to, I would say, to make their plan of insertion and adoption a bit more concrete, and start to define some very specific milestones.

So this is a bit where we are. We are very happy with the progress on High NA. We are very happy with the performance. We're happy with the data. And we'll continue in the next few months to work with our customers to translate basically those initial good results into real, I would say, plan in their manufacturing fabs.

Q - Francois Xavier Bouvignies

Great. Thank you very much.

A - Christophe Fouquet {BIO 20524437 <GO>}

You're welcome.

Operator

Thank you. Your next question comes from the line of Alexander Duval from Goldman Sachs. Please go ahead.

Q - Alexander Duval {BIO 16682293 <GO>}

Yes. Thanks for taking my question. I wondered if you could talk about what level of orders you need in the coming quarters to hit the new midpoint of guidance. I think previously you talked about EUR6 billion of orders in the second half of this year to hit the prior midpoint. And now we've obviously seen EUR2.5 billion in the quarter, but a lower target. So how should we be thinking about this? And to what degree are -- is there some wiggle room in the first quarter, given lead times, potentially to still get orders which could benefit 2025? That's my first question.

A - Roger Dassen {BIO 15064806 <GO>}

Yes, Alexander. So you're right. And I would say that in addition to what you observed in terms of the overall order intake, it's also clear that obviously there has been some push-outs into 2026. So that's also something that you should recognize, right? That orders that originally were provided to us as 2025 orders in the mix that we just discussed have been shifted into beyond 2025. So that dynamic should also be considered.

What we're looking at today, I would say, I think we're -- when it comes to EUV, because obviously that is relevant, I think, in this conversation. I think Deep UV, given the significantly low order lead times, is less relevant here. But when it comes to EUV, at this stage, I think it's fair to say that we're sort of fully booked for the low end of the guidance that we've provided. In order to get to the midpoint of the guidance, I would say that we need another, let's say, EUR2 billion in order to hit the midpoint of the guidance before the end of the year. So EUR2 billion should then come in, in this quarter.

When it comes to flexibility, I think there is some flexibility. So to the extent that orders would come in in Q1, I think we would still probably be able to cater to those orders in 2025. I think we've built in sufficient flexibility here to create that.

Q - Alexander Duval {BIO 16682293 <GO>}

Helpful. And maybe as a quick follow-up. We've had a number of investor questions about sort of lithography intensity in the context of areas like ramping like advanced packaging, advanced deposition, for example. Just curious, to what degree you see that as having a structural impact on litho intensity? And to what degree does that matter in 2026 and beyond on the assumption that the semis market continues to grow over time?

A - Christophe Fouquet {BIO 20524437 <GO>}

Yes. So I think we would talk about that in the Capital Markets Day in a few weeks from now, because those are more longer term considerations. So anything we discuss today, I think, is in no way related to those kind of, I would say, considerations. The whole discussion is really around the market dynamic. I think those questions are very good for our longer term opportunities. And we will be spending quite some time discussing that in the -- again, in the November meeting together.

Q - Alexander Duval {BIO 16682293 <GO>}

Look forward to seeing you there. Many thanks.

A - Christophe Fouquet {BIO 20524437 <GO>}

Thank you.

Operator

Thank you. Your next question comes from the line of Tammy Qiu from Barenberg. Please go ahead.

Q - Tammy Qiu {BIO 17604871 <GO>}

Hi. Thank you for taking my question. So the first one is on China. You mentioned that China is going to normalize from here because of different reasons. Is it right to understand that the 2025 level of Chinese business will be the new baseline of China, i.e., we shouldn't see another 20% or 30% decrease from here into 2026?

A - Roger Dassen {BIO 15064806 <GO>}

I think the 20% is what we consider to be a normal percentage of our business for China. So we would assume that, that is a number that, also on a go forward basis, we believe would be realistic for China. Of course, subject to anything related to export controls and what have you, which is beyond our control. But simply looking at the market, we believe that the China market structurally would be able to accommodate about 20% of our revenue.

Q - Tammy Qiu {BIO 17604871 <GO>}

Okay. Amazing. Thank you. And the follow-up I have is on the two large customer which pushed out their order in this quarter. So, in your 2025 number on those two big customers, did you actually budgeted more trim in there when you estimate your 2025 revenue? Or basically you have taken the push off on this quarter come out with a 2025 number. So therefore, we may actually subject to further push out if they do it another round in the next, let's say, two quarters.

A - Christophe Fouquet {BIO 20524437 <GO>}

Hey, Tammy, real quick to clarify, you said in 2025 we budgeted, what was that?

Q - Tammy Qiu {BIO 17604871 <GO>}

So, basically, I said, when you're budgeting a 2025 revenue, when you give this new guidance range at midpoint EUR32.5 billion, did you actually budget additional cuts from those two big customers? Or you only reflected the cut you have seen in this quarter?

A - Roger Dassen {BIO 15064806 <GO>}

We've essentially -- Tammy, we've essentially taken the latest view that we've developed with that customer. So you would appreciate -- with those customers, so you would -- and by the way, you talk about two customers. I think it's fair to say it's more than two customers, right?

But what we've reflected in what we have now is the latest the status of the conversations with those customers, and that's what is in here. But you will also appreciate that the closer you get to the year, the more firm those customers will be on their demand. So I think what we're looking at for now is a pretty current and, I would say, accurate view of those customers of what they need for next year as a baseline.

Q - Tammy Qiu {BIO 17604871 <GO>}

Okay. Thank you.

Operator

Thank you. We will now take the next question. And the question comes from the line of C.J. Muse from Cantor Fitzgerald. Please go ahead.

Q - C.J. Muse {BIO 6507553 <GO>}

Yes. Good morning. Good afternoon. Thank you for taking the question. I guess first question, I was trying to dig a little bit deeper into China. You are guiding to 20% of revenues, which basically suggests down 30% year-on-year.

I'm curious, does that 20% reflect just normalization? Or are you taking certain precautions in terms of anticipated regulatory pressure? And if so, what kind of dollar amount or percentage is reflected by maybe more cautious behavior as opposed to a change in demand trends?

A - Roger Dassen {BIO 15064806 <GO>}

Yes. I think C.J., I said it that the cautious view is for the two reasons. The cautious view is because, as we said before, we believe at a certain point in time China will go to a more normalized level because we're not overdelivering on their backlog. That's one.

And second, I said, given the discussions that we also read in the press, we've become a bit more cautious. To dissect that is impossible to do. So it's that combination that has given rise to our expectation of China being 20%, which is not too far away indeed from your 30% decline.

Q - C.J. Muse {BIO 6507553 <GO>}

But I guess I'm trying to decipher why it's impossible. I mean, obviously you have a vision for end demand, and then you're taking a haircut to reflect maybe more conservatism. Is there a way to understand that haircut?

A - Roger Dassen {BIO 15064806 <GO>}

It's related C.J. So the two go hand in hand. So you cannot dissect that and I will not dissect that.

Q - C.J. Muse {BIO 6507553 <GO>}

Okay. Maybe a bigger picture question, in a world where two leading Logic players are floundering, you really kind of have three big EUV customers in TSMC, Hynix and Micron. And just curious, as you think about kind of monopoly versus monopsonist, are you thinking about changing your plan to pre-build? I would think that pricing power and pre-building don't go hand in hand, so would love to hear your kind of philosophy around that.

A - Christophe Fouquet {BIO 20524437 <GO>}

Well, I think, the one priority for us is to serve our customers, which means that whatever total demand our customer will give us, we want to be able to honor that. And that's especially important to do that when you are the single supplier of EUV tools. So I think that's the responsibility we have.

I think the discussion on pre-build started when we saw a situation where we may not be able to meet the demand with the output of one year. And then to be consistent with my previous point, pre-build in the lower year is a way to do that. So this means also that this number of pre-built tools will, of course, evolve with the market situation.

And if we are in a situation where the market is low, we don't see the need to do that, except specific request of our customer. But what we have seen also in the past is that things tend to change. And I think the mix between our customer is also evolving back and forth over time. So I think that's also something we keep in mind.

Q - C.J. Muse {BIO 6507553 <GO>}

Thank you.

Operator

Thank you. Your next question comes from the line of Sandeep Deshpande from JP Morgan. Please go ahead.

Q - Sandeep Deshpande {BIO 3869012 <GO>}

Yes. Hi. Thanks for letting me on. I want to go back to one of the early questions again. I mean, in terms of your guidance for next year, I mean, when we look at the numbers, it looks like your growth in DUV outside China is going to be incredibly strong. I mean -- and also, when I've looked at ASML for so many years, I mean, the view is that ASML, when you give one year guidance, you tend to be within that ballpark. You don't tend to be wrong in that -- in those terms.

So, I mean, how confident do you feel that the DUV outside China is going to see significant growth next year, given that DUV does tend to have shorter lead times than EUV? And I have one follow-up after that.

A - Roger Dassen {BIO 15064806 <GO>}

Yes. So, as I mentioned -- well, you quoted an incredible growth. As I mentioned before, I think you're looking for the non-Chinese part of the Deep UV business. We're looking at about similar growth as we see it for EUV. So, leave it to your own imagination how you want to qualify that.

But the two things go hand in hand. We see quite a bit of Deep UV demand also, particularly, I would say, on the leading nodes. So therefore, I think assumptions on a strong correlation between capacity build on EUV and capacity build on the non-Chinese part of the DUV, I think that is a realistic assumption. So therefore, with that very strong correlation as we see it, we believe that the underpinning for that demand increase, Sandeep, we believe is robust.

Q - Sandeep Deshpande {BIO 3869012 <GO>}

And Roger, I mean just -- just on the same question, in terms of your forecasting for '25, this is in line with how you forecast in prior years, correct? So there's nothing different or do you think that this year, is '25 looking something very dramatically different and so you may have to change later or something like that?

A - Roger Dassen {BIO 15064806 <GO>}

No, I think it's essentially the same. You could argue, Sandeep, that we're a bit early. And the reason that we're a bit early is because we believe, given the dynamics that Christophe talked about at the beginning, we believe that the second or the high end of the bandwidth is not realistically in reach based on what we know today. So that's the reason why we believe it was prudent to say we should be looking at the lower end.

Of course, in the next couple of months, we're going to, once again, talk to customers and listen to their plans, et cetera, et cetera. But I think the way we're looking at next year and the work that we've done on that is not dramatically different from what we've done in previous years.

Q - Sandeep Deshpande {BIO 3869012 <GO>}

Okay. Thanks. And one -- my second question is on High NA. Christophe, I mean, there have been public comments by one of your customers on High NA. Clearly, the data which has been available at the last conference that High NA seems to be pretty good. So my question is, are your top three customers all going to sign up for High NA quickly? Or is this some of them going to delay like one of them did with EUV? And we know the consequences of that, of course.

A - Christophe Fouquet {BIO 20524437 <GO>}

I think we've been consistent in the last few quarters mentioning that all our EUV customers had ordered High NA tools. All our EUV customers have been engaged with us in the High NA lab. So everyone is really using this time to collect the data. So the data you may have a chance to see, the one you referred to, I think are also looked at, seen by all customers.

I think the engagement today on High NA is really coming from all of our EUV customers. And the timing they have in mind for insertion, for adoption, is still pretty much in line with what we've discussed in the past. I think the good data we have been able to generate on the very first tools are just, if anything, supporting that approach.

Q - Sandeep Deshpande {BIO 3869012 <GO>}

Thank you, Christophe.

A - Christophe Fouquet {BIO 20524437 <GO>}

You're welcome.

A - Skip Miller {BIO 20244900 <GO>}

All right. We have time for one last question. If you were unable to get through on this call and still have questions, please feel free to contact the ASML Investor Relations department with your question.

Now, operator, may we have the last caller, please?

Operator

Thank you. We will now take our final question for today. And your final question comes from the line of Adithya Metuku from HSBC. Please go ahead.

Q - Adithya Metuku {BIO 17642884 <GO>}

Yes. Good afternoon, guys. Thank you for taking my questions. So firstly, just a clarification. If I heard you correctly, you said the competitive dynamics between the Logic players, you pointed out earlier, you're saying that the problems that some of these customers have led to downside risks crystallizing for 2025, but the upside risks from the share shifts between these Logic customers haven't yet crystallized and are not yet in your assumptions for 2025. Is that right? Did I hear that correctly?

A - Christophe Fouquet {BIO 20524437 <GO>}

Well, I think I would say short answer is, yes. And that's again why we referred to some upside on some part of the market.

Q - Adithya Metuku {BIO 17642884 <GO>}

Got it. So essentially, you're saying you're priced in caution for China, even though the -- we have no clarity on export controls and how they'll develop. And then there could be upside risk from share shifts between Logic customers into 2025.

And then maybe just as a follow-up on Low NA, UV ASPs for Roger. When I take the numbers you're giving, less than 50 Low NA tools and 5 High NA tools, and the growth -- and DUV declining. So essentially your EUV has to grow quite significantly. But with the ASPs you've given for all the 3800 machine and the mix shifts you're still talking about for 2025 is between 3600D and 3800E, it sounds like your Low NA ASP has to be something like EUR240 million, and I'm not sure how I get to that number. I don't know if you can help me reconcile.

A - Roger Dassen {BIO 15064806 <GO>}

(Technical Difficulty) But your model is clear. So that's why it's difficult to reconcile it on this call, Adithya. And -- but by and large, I think you mentioned EUR240 million. That would definitely be too high. And that is also not what we have in our numbers. So if we look at the ASP that I recognize or that we recognize in our model to get you to the midpoint of the guidance, there is an ASP that is above EUR240 million, but definitely not at a EUR240 million level.

So I think you might want to revisit that. I don't know exact (Technical Difficulty) on High NA, you should have -- at least for the 5200, you should have an ASP EUR350 million. But I don't know if you have that in there. But the ASP to work on for Low NA would be north of EUR200 million in the mix, but would be -- would definitely be lower than the EUR240 million that you just noted.

Q - Adithya Metuku {BIO 17642884 <GO>}

Understood. Thank you.

A - Roger Dassen {BIO 15064806 <GO>}

Welcome.

A - Skip Miller {BIO 20244900 <GO>}

All right. Now, on behalf of ASML, I'd like to thank you all for joining us today. Operator, if you could formally conclude the call, I would appreciate it. Thank you.

Operator

Thank you. This concludes the ASML 2024 third quarter financial results conference call. Thank you for participating. You may now disconnect.
